

21VECV00843 21VECV00843

County: los-angeles

Division: Civil Law and Motion

Department: W

Hearing date: 2026-07-13

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=NW%20%2CW%2C07%2F13%2F2026

Source SHA-256: b15a47696b87e3181a5be51f2944b1cf96925765afe6964c83f532143be2ecee

Case Number: 21VECV00843 Hearing Date: July 13, 2026 Dept: W

Judge _____

Department W

Hearing Date:

Monday, July 13, 2026

Case Name:

William

Tatham, et al. v. Scott Kelley, et al.

Case No.:

21VECV00843

MOTIONS

Motion to Set Aside Dismissal

Moving Party:

Plaintiffs William Tatham and Grand Prix
Entertainment Holdings, LLC

Responding Party:

Defendants Scott Kelley, and Kelley
& Kelley, LLP

Notice:

Proof of Service on April 1, 2026.

Documents:

Plaintiffs' Motion to Set Aside/Vacate
Dismissal – 4/1/26

Declaration of David Schneider in
Support – 4/1/26

Request for Judicial Notice – 4/1/26

Defendants' Opposition – 6/29/26

Plaintiffs' Reply – 7/6/26

Ruling:

The Court DENIES
Plaintiffs' Motion to Set Aside the dismissal issued in their JAMS arbitration
proceeding.

Relevant
Background:

This is a legal
malpractice case. Plaintiffs are William Tatham and Grand Prix
Entertainment Holdings, LLC. Plaintiffs were working to develop a
professional indoor volleyball league.

In
2012, Plaintiffs retained Defendants to negotiate
a licensing deal with non-party USA Volleyball. By 2017, Plaintiffs
were falling behind on payments to USA Volleyball. On August 24,
2018, USA Volleyball demanded arbitration for nearly \$506,205.00 in

unpaid licensing fees. Plaintiff William Tatham alleges that he was held personally liable as part of this suit due to Defendants' poor contract drafting.

Plaintiffs further allege that Defendant Kelley improperly made short-term loans to Plaintiffs. These loans were allegedly issued in order to cover Plaintiffs' licensing fee shortfalls, but they included incredibly high interest rates – in some cases upwards of 50%.

On July 1, 2021, Plaintiffs brought suit against Defendants alleging four causes of action: 1) legal malpractice; 2) breach of fiduciary duty; 3) violation of BPC § 17200; and 4) request for declaratory relief.

On January 7, 2022, this case was sent to binding arbitration.

On October 1, 2025, Arbitrator Rex Heeseman heard a dismissal motion from Defendants. This motion was unopposed and Plaintiffs did not appear. Arbitrator Heeseman granted that motion, and, one week later, dismissed the case with prejudice. Neither party was awarded any money.

On November 18, 2025, Defendants submitted a petition to confirm this dismissal.

On January 21, 2026, this Court heard the petition to confirm arbitration award. The Court continued the motion so that Defendants could cure a single procedural defect with their petition. Specifically, the Court found that Defendants did not provide proof that the neutral arbitrator served Plaintiffs with a signed copy of this award, or that this service was not required by the arbitration agreement.

On April 14, 2026, this Court once again heard Defendants' Petition to Confirm Arbitration

Award. The Court granted the petition.

However, on April

1, 2026, before the Court ruled on the petition, Plaintiffs filed the instant motion to set aside the dismissal ordered by JAMS arbitrator.

The Court now

hears this motion to set aside.

Analysis:

Plaintiffs move

this Court to set aside the JAMS dismissal of their case. (Mot. to Set Aside, p. 2:10-14.) Specifically, Plaintiffs request this Court set aside the dismissal under CCP § 473(b). (Ibid.)

CCP § 473(b)

states that, “the court shall . . . vacate any (1) resulting default entered by the clerk against the attorney's client, and which will result in entry of a default judgment, or (2) resulting default judgment or dismissal entered against the attorney's client” so long as the application for relief is made “no more than six months after entry of judgment, is in proper form, and is accompanied by an attorney's sworn affidavit attesting to the attorney's mistake, inadvertence, surprise, or neglect . . . unless the court finds that the default or dismissal was not in fact caused by the attorney's mistake, inadvertence, surprise, or neglect.

Plaintiffs' case

was dismissed On October 1, 2025, in binding arbitration, when Plaintiffs failed to oppose or appear for a dismissal motion brought by Defendants. (Schneider Decl. Ex. 1.) Arbitrator Heeseman granted the motion, and, one week later, dismissed the case with prejudice. Neither party was awarded any money. (Ibid.)

Here, Plaintiffs

provide a declaration from their previous attorney, Michael Shulte, stating that he failed to attend the October 2025 dismissal hearing due to multiple tragedies in his personal life, namely his wife's cancer diagnosis, and the sudden death of his father – both of which occurred in April of 2025. (Shulte Decl. ¶¶ 2, 3, 6.) Plaintiffs assert that, through this declaration, they have satisfied the requirements of CCP § 473(b), and thus this Court is obligated to

set aside the dismissal order entered by the arbitrator.

The problem with

Plaintiffs' argument is that they fail to explain how CCP § 473(b) can apply to a private arbitrator's ruling. As far as the Court is aware, CCP § 1286.2 is the statute that outlines this Court's power to overturn an arbitration award, not CCP § 473(b).

Under CCP § 1286.2,

the Court's power to vacate an arbitration award is limited to a small number of exceptions:

“(1) The award was procured by corruption, fraud or other undue means.

(2) There was corruption in any of the arbitrators.

(3) The rights of the party were substantially prejudiced by misconduct of a neutral arbitrator.

(4) The arbitrators exceeded their powers and the award cannot be corrected without affecting the merits of the decision upon the controversy submitted.

(5) The rights of the party were substantially prejudiced by the refusal of the arbitrators to postpone the hearing upon sufficient cause being shown therefor or by the refusal of the arbitrators to hear evidence material to the controversy or by other conduct of the arbitrators contrary to the provisions of this title.

(6) An arbitrator making the award either: (A) failed to disclose within the time required for disclosure a ground for disqualification of which the arbitrator was then aware; or (B) was subject to disqualification upon grounds specified in Section 1281.91 but failed upon receipt of timely demand to disqualify himself or herself as required by that provision.”

(CCP § 1286.2(a)(1-6).)

None of these

exceptions apply to the circumstances outlined in Plaintiff's motion – attorney mistake.

Plaintiffs cite a

significant amount of case law in their motion. However, none of it addresses the question of whether a trial court can set aside a dismissal ordered by a private arbitrator. For instance, Plaintiffs cite to *Bernasconi Commercial Real Estate v. St. Joseph's Regional Healthcare System* for the proposition that mandatory relief under CCP § 473(b) applies to dismissals that are the "procedural equivalent of a default". (Mot. to Set Aside, p. 4:25-27 [citing *Bernasconi Commercial Real Estate v. St. Joseph's Regional Healthcare System* (1997) 57 Cal.App.4th 1078, 1082].) Plaintiffs point out that this includes dismissals caused by counsel's failure to oppose a dismissal motion. (Mot. to Set Aside, p. 5:2-3 [citing *J.A.T Entm't v. Reed* (1998) 62 Cal.App.4th 1485].)

While the Court

agrees that these cases establish that CCP § 473(b) would apply if a case was dismissed due to a failure to attend a dismissal hearing, these cases have nothing to say about the applicability of the statute to dismissals entered in private arbitration. (See generally, *Bernasconi*, supra; see also, *J.A.T Entm't*, supra.) Neither case even uses the word "arbitration". (Ibid.)

Additionally, in response

to Defendants' argument about jurisdiction, Plaintiffs attempt to shift the focus of this analysis. They argue that, "the Court should construe the motion as seeking relief from the April 14, 2026, confirmation order and the April 20, 2026, judgment, both of which flowed directly from the attorney-caused dismissal challenged in Plaintiffs' moving papers." (Reply, p. 3:3-5.) The Court takes issue with this argument, as it directly contradicts Plaintiffs' original motion, which stated that this was a, "Motion to Set Aside Dismissal of JAMS Proceeding Pursuant to Section 473(b)." (Mot. to Set Aside, p. 1:24 [emphasis added].) Plaintiff cannot now, in Reply, ask this Court to shift the focus of this analysis to a petition to confirm dismissal entered two weeks after the instant motion was filed.

Given that

Plaintiffs have provided no case law to suggest that CCP § 473(b) empowers a trial court to set aside a dismissal entered in binding arbitration, the Court

defaults to CCP § 1286.2, which limits this Court's power to vacate an arbitration award is limited to a small number of exceptions – none of which are met here.

For these reasons,
the Court DENIES Plaintiffs' Motion to Set Aside the dismissal issued in their JAMS arbitration proceeding.

Conclusion:

The Court DENIES
Plaintiffs' Motion to Set Aside the dismissal issued in their JAMS arbitration proceeding.